



Coca-Cola Co (NYSE : KO)

Sector: Consumer Defensive

BUY Recommendation

Target Price : 76.77

EXECUTIVE SUMMARY

BUY Recommendation: Coca-Cola - A Resilient Titan with Enduring Global Reach

We are initiating coverage of The Coca-Cola Company with a **BUY** recommendation and a 12-month price target of **\$76.77**, which implies a potential **10%** upside from its reference price. Coca-Cola's financial resilience, fortified by its unmatched brand power, a nearly insurmountable global distribution network, and a disciplined strategy of portfolio diversification, positions it as a compelling investment. The company is poised for sustained, moderate growth and robust cash flow generation, which we believe is not fully reflected in its current market valuation. Despite secular headwinds from evolving consumer health trends, Coca-Cola's strategic pivots toward low- and no-sugar offerings, coupled with its expansion into high-growth beverage categories, provide a durable pathway to long-term value creation for shareholders.

Investment Thesis Highlights

Our valuation of Coca-Cola, conducted using a discounted cash flow (DCF) model with an EV/EBITDA exit multiple, supports our **BUY** thesis. The company's core strengths provide a defensive moat, while its strategic initiatives offer avenues for continued growth.

Thesis 1: Unparalleled Brand Equity and Global Distribution Create a Durable Competitive Moat

The Coca-Cola brand is one of the world's most valuable and widely recognized intangible assets, affording the company significant pricing power and deep-seated consumer loyalty across diverse cultures and economies. This brand strength is amplified by a franchise distribution model that has created a vast, intricate, and highly efficient global network of bottling partners. This system ensures profound market penetration, from modern retail chains in developed nations to small, independent outlets in remote emerging markets. The scale and integration of this network present a formidable barrier to entry that competitors find nearly impossible to replicate, underpinning Coca-Cola's consistent market share dominance and stable volume growth.

Thesis 2: Strategic Diversification and Innovation Mitigate Core Product Risks and Capture New Growth

While the iconic sparkling beverage portfolio remains its foundation, Coca-Cola has astutely and aggressively diversified its offerings to align with modern consumer preferences. Through strategic acquisitions such as Costa Coffee and BodyArmor, alongside organic innovation in categories like premium water (Topo Chico), plant-based drinks, and flavored sparkling water (AHA), the company has materially reduced its dependence on traditional carbonated soft drinks (CSDs). This "total beverage company" strategy allows Coca-Cola to capture a larger share of consumer spending

Company Data

Metric	Value
Last Close (Reference)	\$69.56
Enterprise Value	\$346.74B
Market Cap	\$274.27B
Shares Outstanding	4.31B
EV/EBITDA (Fwd)	14.97x
Fwd P/E	21.01

Valuation Result

Metric	Value
Σ PV of FCFF	\$71.52B
Exit Multiple	14.97x
PV Terminal Value	\$272.49B
Value of Firm	\$344.01B
Value of Debt	\$44.52B
Value of Cash &	\$37.99B
Value of Equity	\$337.48B
Target Price	\$76.77

throughout the day and across various occasions, effectively hedging against the secular decline in sugary drink consumption and positioning it for growth in emerging, healthier categories.

Antithesis 1: Persistent Headwinds from Health-Conscious Consumers and Heightened Regulatory Scrutiny

The most significant and persistent risk facing Coca-Cola is the accelerating global consumer shift away from high-sugar beverages. Heightened awareness of health issues like obesity and diabetes has fueled this trend, which is increasingly reinforced by government intervention in the form of sugar taxes, advertising restrictions, and stringent labeling requirements. Although Coca-Cola is actively innovating with a growing portfolio of low- and zero-sugar alternatives, including the highly successful Coca-Cola Zero Sugar, there remains a tangible risk that the pace of this transition may not be swift enough to fully offset potential volume declines in its profitable full-sugar legacy products. A failure to continue adapting its portfolio and brand perception at the speed of societal and regulatory change could constrain long-term growth prospects

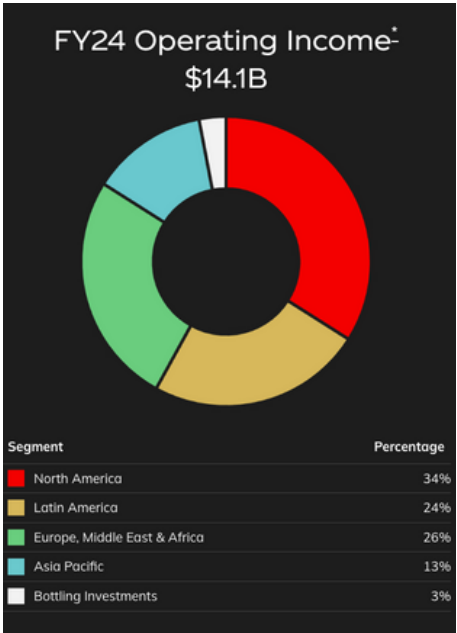
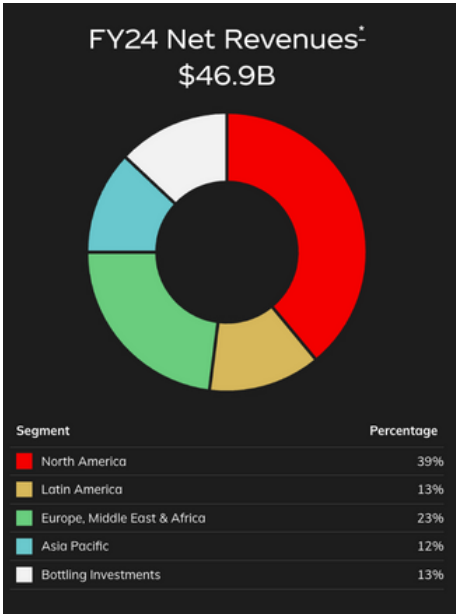
BUSINESS OVERVIEW

Founded in Atlanta, Georgia, in 1886, The Coca-Cola Company has evolved from a single product into the world's largest non-alcoholic beverage company. Its products are sold and recognized in over 200 countries and territories, making it a ubiquitous presence in global commerce and culture. The company's portfolio is extensive, featuring more than 200 brands, including five of the world's top six best-selling soft drinks: Coca-Cola, Diet Coke, Fanta, and Sprite.

Coca-Cola's operational structure is primarily a franchise system. The company itself focuses on the high-margin business of manufacturing and selling beverage concentrates, syrups, and finished beverages to its network of over 200 independent bottling partners worldwide. These partners are responsible for the capital-intensive aspects of the business: producing, packaging, and distributing the final branded beverages to a vast web of over 30 million retail customer outlets. This asset-light model allows The Coca-Cola Company to maintain a lean operational footprint, focus on its core competencies of brand building, consumer marketing, and innovation, and generate high returns on invested capital.

The company organizes its business across several key geographical operating segments, including North America; Europe, Middle East & Africa (EMEA); Latin America; and Asia Pacific. Its revenue streams are diversified across multiple product categories designed to meet a wide array of consumer needs:

- **Sparkling Soft Drinks:** The traditional core of the business, led by the flagship Coca-Cola brand.
- **Water, Sports, Coffee and Tea:** A high-growth segment that includes brands like Dasani, Smartwater, Vitaminwater, BodyArmor, Powerade, Costa Coffee, and Gold Peak Tea.
- **Juice, Dairy and Plant-Based Beverages:** This category includes global brands such as Minute Maid and Simply, among others.



In recent years, Coca-Cola has been guided by its "Beverages for Life" strategy. This strategic framework is centered on providing a comprehensive and diverse portfolio of drinks that cater to the full spectrum of consumer tastes, lifestyles, and occasions. The objective is to ensure that Coca-Cola offers a product for every moment of the consumer's day, thereby capturing maximum value and fostering deeper brand loyalty across its entire ecosystem.

INDUSTRY OVERVIEW

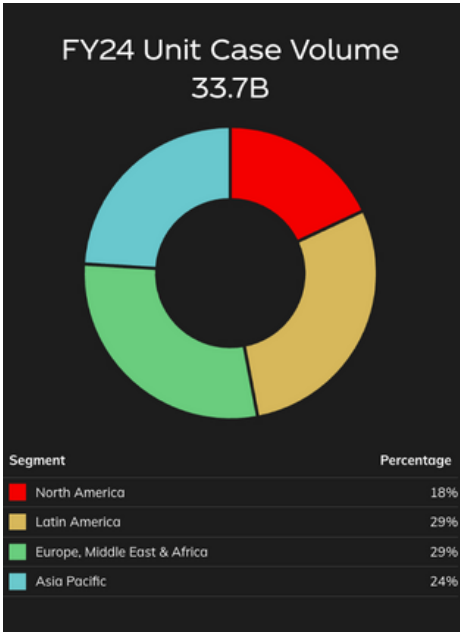
A Diverse and Evolving Market Driven by Shifting Tastes

The global non-alcoholic beverage industry is a mature, multi-billion-dollar market characterized by intense competition and dynamic evolution. While traditional CSDs still command a substantial share of the market, the primary drivers of growth have shifted decisively towards healthier, more functional, and premium alternatives. The overall market is projected to continue its steady expansion, propelled by product innovation, the premiumization of existing categories, and rising disposable incomes in key emerging economies.

Key Macro and Consumer Trends Shaping the Industry

The industry is currently being reshaped by several powerful, intersecting trends that are forcing legacy players like Coca-Cola to adapt and innovate continuously.

- **The Health and Wellness Imperative:** This is arguably the most dominant force in the beverage market today. Consumers across the globe, with Millennials and Gen Z at the forefront, are increasingly vigilant about their health. This translates into a clear preference for beverages with lower sugar content, natural ingredients, and added functional benefits such as hydration, energy enhancement, vitamins, and minerals. This trend has been the primary catalyst for the explosive growth in categories such as bottled water, sports and performance drinks, ready-to-drink (RTD) teas and coffees, and plant-based alternatives.
- **Economic Outlook and Discretionary Spending:** The consumption of premium, out-of-home beverages is often correlated with macroeconomic health. In developed markets like North America and Europe, stable but slower economic growth, coupled with inflationary pressures, can lead consumers to trade down or reduce discretionary spending. Conversely, in high-growth emerging markets across Asia, Latin America, and Africa, rising GDP and an expanding middle class represent the most significant opportunities for volume expansion. Companies must navigate this divergent economic landscape, balancing value propositions in mature markets with accessibility and aspirational branding in developing ones.
- **Generational Shifts in Consumption:** Consumer behavior is not monolithic; it is heavily influenced by generational cohorts. While older generations may have established loyalties to legacy brands, younger consumers are more experimental and digitally native.
 - Millennials were instrumental in popularizing the "third place" concept and driving demand for premium, ethically sourced products. They embraced the experiential aspect of beverage consumption.



- Gen Z is now amplifying these trends with a digital-first mindset. They demand convenience (mobile ordering, delivery), personalization, and authenticity. They are also highly attuned to the values of the brands they support, making sustainability and social responsibility non-negotiable factors in their purchasing decisions. For beverage companies, this necessitates a sophisticated omnichannel strategy and transparent communication on ESG issues.
- The Sustainability Mandate: The environmental impact of packaging, particularly single-use plastics, has become a critical issue for the beverage industry. Intense pressure from consumers, activist groups, and regulators is compelling companies to take meaningful action. Key initiatives across the industry include increasing the use of recycled materials (rPET), designing for recyclability, exploring reusable packaging models (like refillable bottles), and investing in alternative materials to reduce the overall plastic footprint. A company's performance on sustainability is no longer just a reputational matter; it is increasingly tied to regulatory compliance and long-term business viability.

The Future of the Beverage Industry

The trajectory of the industry points towards a future defined by choice, health, and responsibility. The brands that will succeed will be those that can successfully navigate the tension between indulgence and wellness, convenience and sustainability, and global scale and local relevance. For an incumbent leader like Coca-Cola, the challenge is to leverage its immense resources to lead this evolution, transforming its portfolio and business practices to meet the demands of the 21st-century consumer.

COMPETITIVE POSITIONING

Where Coca-Cola Leads? : A Fortress of Competitive Advantages

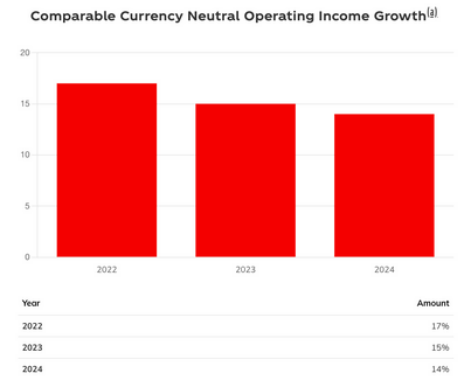
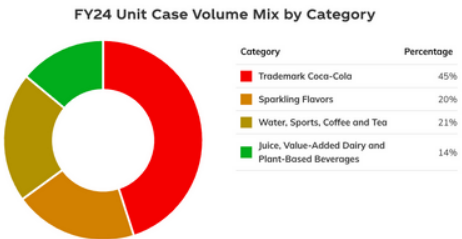
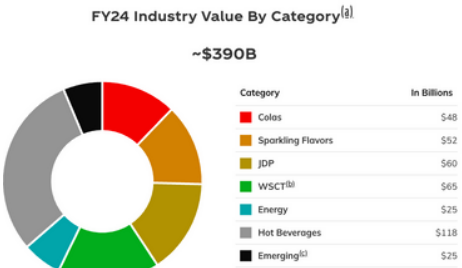
Unrivaled Brand Equity & Global Scale: Coca-Cola's brand is its most formidable asset, representing a powerful form of cultural currency that transcends borders. It is consistently ranked as one of the most valuable brands in the world, giving the company exceptional pricing power and ensuring top-of-mind awareness for consumers globally. This brand dominance is supported by a physical scale that is unmatched. Operating in over 200 markets through its extensive bottling and distribution network, Coca-Cola achieves an economy of scale in marketing, production, and logistics that smaller competitors cannot replicate.

Mastery of Marketing & Consumer Connection: For over a century, Coca-Cola has been a master of creating emotionally resonant marketing campaigns that forge deep and lasting connections with consumers. From iconic holiday advertising to its sponsorship of major global events like the Olympics and the FIFA World Cup, the company has embedded its brands into the fabric of daily life and cultural moments. This marketing expertise keeps its core brands perpetually relevant and fosters a level of loyalty that spans generations.

The Franchise Model: A Symbiotic Powerhouse: The company's franchise system is a strategic masterpiece. By partnering with local bottlers, Coca-Cola outsources the capital-intensive aspects of its business while benefiting from

North America

Region	Percentage
United	95%
Canada	5%



its partners' deep local market knowledge, distribution infrastructure, and customer relationships. This symbiotic model allows for operational flexibility, rapid adaptation to local tastes, and consistently high returns on capital for The Coca-Cola Company.

Where Coca-Cola Faces Challenges?

Intense and Evolving Competition: Coca-Cola operates in a fiercely competitive landscape. Its primary global rival, PepsiCo, presents a unique challenge due to its dual strength in both beverages and snack foods (Frito-Lay and Quaker). This diversification gives PepsiCo a different risk profile and allows for powerful cross-promotional synergies in retail environments. Beyond PepsiCo, Coca-Cola faces growing competition from a host of other players:

- Established Beverage Companies: Keurig Dr. Pepper holds a strong position in the North American market with a diverse portfolio of soft drinks, teas, and coffee systems.
- Agile and Focused Challengers: Brands like Monster Beverage have demonstrated an ability to dominate high-growth niches (in this case, energy drinks) with powerful branding and a focus on a specific demographic.
- Private Label and Retailer Brands: Major retailers are increasingly sophisticated in developing their own private-label beverage offerings, which compete directly with Coca-Cola's brands on price.

The Perpetual Battle Against Negative Health Perceptions: The company's heritage and a significant portion of its profits are inextricably linked to sugary soft drinks. This makes it a primary target for public health advocates and regulators concerned with sugar consumption. Coca-Cola must constantly fight the perception that its core products are unhealthy. This involves a delicate balancing act of defending its legacy brands while simultaneously promoting its healthier alternatives, a challenge that requires significant and sustained investment in both R&D and marketing.

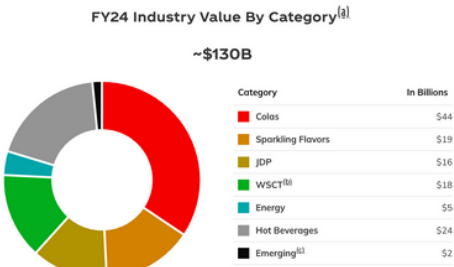
Exposure to Global Macroeconomic and Geopolitical Risks: As a truly global entity, Coca-Cola's financial performance is highly susceptible to factors beyond its direct control. Fluctuations in foreign currency exchange rates can have a material impact on its reported revenues and profits. Furthermore, its operations in over 200 markets expose it to a complex and ever-changing mosaic of local regulations, political instability, trade policies, and economic conditions, all of which can introduce volatility into its business.

INVESTMENT SUMMARY

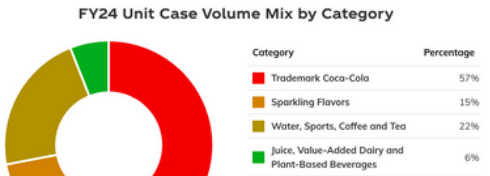
Thesis 1: Unparalleled Brand Equity and Global Distribution Create a Durable Competitive Moat

Coca-Cola’s primary competitive advantage, and the foundation of our investment thesis, is the combination of its iconic brand and its unparalleled global distribution system. The Coca-Cola brand is more than just a name; it is a global symbol of refreshment and happiness, cultivated through more than 130 years of consistent and masterful marketing. This immense brand equity grants the company a level of consumer loyalty and pricing power that is the envy of the consumer goods world. It allows Coca-Cola to maintain

Latin America



Region	Percentage
Mexico	44%
Brazil	24%
Argentina	5%
Chile	4%
Colombia	4%
Peru	3%
Guatemala	2%
Bolivia	2%
Ecuador	2%
Other	10%



premium price points relative to competitors and ensures its products are the default choice for millions of consumers and retailers.

This brand power is projected across the globe by a distribution network that is a marvel of logistics and local partnership. The franchise model, which entrusts bottling and last-mile distribution to local partners, creates a deeply entrenched and highly efficient route to market. This system reaches an estimated 30 million retail outlets worldwide, from hypermarkets in developed economies to remote, rural villages in emerging ones. The capital investment, local relationships, and operational complexity required to build such a network from scratch are so immense that they create a nearly impenetrable barrier to entry for any potential challenger. This combination of a beloved brand and a dominant distribution system provides Coca-Cola with a durable, long-term competitive moat that ensures its market leadership and generates predictable, stable cash flows.

Thesis 2: Strategic Diversification and Innovation Mitigate Core Product Risks and Capture New Growth

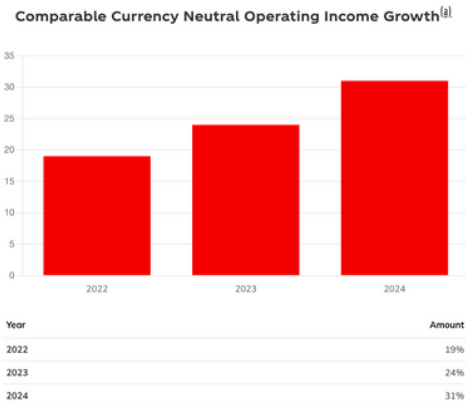
While its sparkling beverage business remains the financial engine of the company, Coca-Cola's management has astutely recognized the imperative to evolve beyond its legacy. The company's "total beverage" strategy is a deliberate and well-executed pivot designed to align its portfolio with the modern consumer's demand for choice, health, and functionality. This is not merely a defensive maneuver but a proactive strategy to capture new avenues of growth.

The evidence of this transformation is clear in the company's recent strategic moves. The acquisition of Costa Coffee instantly transformed Coca-Cola into a global coffee powerhouse, providing it with a platform across retail, vending, and ready-to-drink (RTD) formats. The purchase of the remaining stake in BodyArmor provided a strong competitor in the high-growth sports drink category, targeting a different consumer than its legacy Powerade brand. Furthermore, the company has been highly active in organic innovation, successfully launching and scaling brands like Topo Chico (premium mineral water), AHA (flavored sparkling water), and a growing portfolio of juice and plant-based offerings. This strategic expansion broadens Coca-Cola's addressable market, reduces its long-term vulnerability to a single product category, and positions it to compete and win in the fastest-growing segments of the beverage industry.

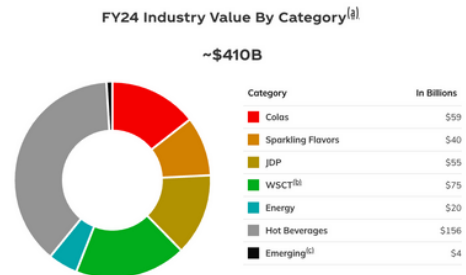
Antithesis 1: Persistent Headwinds from Health-Conscious Consumers and Heightened Regulatory Scrutiny

The most significant and undeniable threat to Coca-Cola's future growth trajectory is the powerful and enduring global movement toward health and wellness. Growing consumer awareness of the health risks associated with excessive sugar consumption has placed a bullseye on the company's core portfolio of full-sugar carbonated soft drinks. This consumer-led trend is being amplified and accelerated by government action around the world. A growing number of countries and municipalities have implemented or are considering punitive sugar taxes designed to discourage consumption. These are often accompanied by stricter regulations on marketing to children,

Latin America



Europe, Middle East and Africa



mandatory front-of-pack health warnings, and other policies aimed at curbing the intake of sugary beverages. While Coca-Cola is responding proactively to this challenge, the execution risk remains significant. The company has invested heavily in reformulating its products to reduce sugar and has aggressively marketed its zero-sugar variants, most notably Coca-Cola Zero Sugar, which has been a major success. However, the core challenge persists: can the growth in these healthier alternatives expand quickly enough to fully offset any potential stagnation or decline in the highly profitable full-sugar brands that have long been the company's cash cow? If the pace of consumer and regulatory change outstrips Coca-Cola's ability to pivot its portfolio and its brand perception, it could lead to margin pressure and a long-term deceleration in its overall growth rate.

FINANCIAL ANALYSIS

Our financial analysis of Coca-Cola paints a picture of a mature, highly profitable, and exceptionally cash-generative enterprise. While top-line growth may be moderate, the company's ability to convert revenue into free cash flow is a central pillar of its investment appeal.

Based on our projections derived from the company's valuation model, we forecast that Coca-Cola's free cash flow to the firm (FCFF) will demonstrate robust growth, rising from approximately \$14.0 billion in 2025 to over \$20.0 billion by the end of the forecast period in 2029. This powerful and predictable cash generation is the lifeblood of the company's shareholder return policy, enabling it to consistently fund its generous dividend, engage in regular share repurchase programs, and retain sufficient capital for strategic, bolt-on acquisitions to fuel future growth.

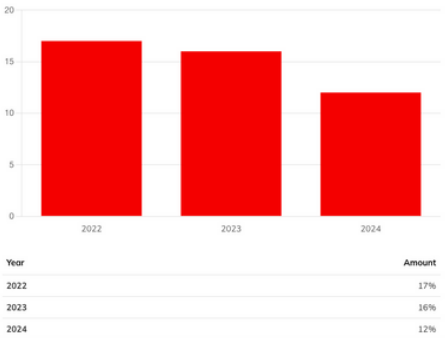
From a profitability perspective, Coca-Cola's operating model is designed for high margins. We project that its earnings before interest and taxes (EBIT) will grow steadily from \$15.3 billion in 2025 to a forecasted \$22.6 billion in 2029. This growth reflects the company's significant pricing power, the inherent margin advantage of its concentrate business model, and ongoing efforts to drive operational efficiencies throughout its system. While the company is not immune to margin pressures from volatile commodity prices (such as sugar and aluminum) and the need for significant marketing investment to maintain brand health, its immense scale and purchasing power provide a substantial buffer against these headwinds.

The company's balance sheet is characteristic of a mature blue-chip firm. It maintains a significant level of debt, reported at \$44.5 billion, which is used strategically to finance its global operations and value-accretive acquisitions. This debt load is managed prudently and is comfortably supported by the company's massive and stable cash flows, as evidenced by its strong investment-grade credit ratings. The company also holds a substantial cash and investments balance, providing it with ample liquidity and financial flexibility.

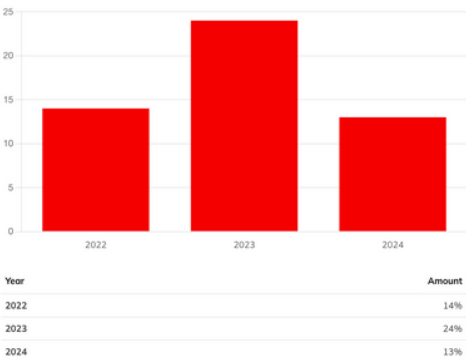
Europe, Middle East and Africa

Region	Percentage
United Kingdom	11%
Germany	7%
South Africa	7%
Turkiye	6%
Spain	5%
Nigeria	5%
France	4%
Pakistan	3%
Egypt	3%
Other	49%

Organic Revenue Growth^(a)



Comparable Currency Neutral Operating Income Growth^(a)



FY24 Unit Case Volume Mix by Category



VALUATION

We are establishing a 12-month price target for Coca-Cola of \$76.77, which represents a 10% potential upside from the reference price 2. This valuation is the result of a comprehensive discounted cash flow (DCF) analysis that utilizes an EV/EBITDA exit multiple to determine the terminal value. We believe this hybrid methodology is the most appropriate for a company like Coca-Cola. The DCF component grounds the valuation in the company's fundamental ability to generate cash, while the use of a market-based exit multiple incorporates the market's current perception of the long-term value of similar stable, large-cap consumer staples companies.

Rationale for Valuation Methodology

For a mature, predictable business like Coca-Cola, a DCF analysis is the preferred primary valuation tool as it focuses on the intrinsic value derived from future cash flows. Using an exit multiple instead of a perpetuity growth formula for the terminal value provides a crucial market-based check on the valuation. It helps capture the value of intangible assets like brand strength, which are reflected in the multiples that the market assigns to industry peers, while still being anchored to a five-year explicit forecast of fundamental performance.

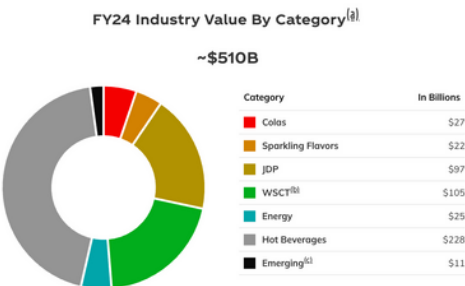
Key Valuation Assumptions :

- **Weighted Average Cost of Capital (WACC):** Our valuation employs a WACC of 6.03%. This was derived using the Capital Asset Pricing Model (CAPM). Key inputs to this calculation include a risk-free rate of 4.51%, a bottom-up beta of 0.57 (reflecting the stock's low volatility relative to the broader market), and a resulting cost of equity of 6.21% . The WACC reflects the blended cost of Coca-Cola's capital structure and serves as the discount rate for its future free cash flows.
- **Peer Selection & Exit Multiple:** To determine an appropriate exit multiple, we selected a peer group of comparable large-cap beverage companies: PepsiCo, Keurig Dr. Pepper, and Monster Beverage. An analysis of the two-year forward EV/EBITDA multiples for this group yielded an average multiple of 14.97x . We applied this multiple to Coca-Cola's projected 2029 EBITDA to calculate its terminal value.
- **Free Cash Flow Projections:** Our DCF model is built upon a five-year forecast of the company's financials. These projections anticipate steady growth in operating profit and disciplined management of capital expenditures and working capital, resulting in a consistent and growing stream of free cash flow to the firm over the explicit forecast period from 2025 to 2029.

Final Valuation and Price Target Derivation

Our DCF model calculates the sum of the present value of the explicit five-year free cash flows to be approximately \$71.5 billion. The present value of the terminal value, calculated using the 14.97x EV/EBITDA exit multiple, is approximately \$272.5 billion.

Asia Pacific



Region	Percentage
China	33%
India	21%
Japan	12%
Philippines	9%
Thailand	6%
Australia	4%
South Korea	3%
Viet Nam	2%
Indonesia	2%
Other	8%

Combining these two components yields a total enterprise value for The Coca-Cola Company of \$344.0 billion. To arrive at the equity value, we subtract the company's value of debt (\$44.5 billion) and add back its cash and investments (\$38.0 billion) 2. This results in a total equity value of approximately \$337.5 billion.

Finally, by dividing this total equity value by the number of diluted shares outstanding (4.32 billion), we arrive at our fair value estimate and 12-month price target of \$76.77 per share 2. This target price suggests that the current market price does not fully appreciate the durable nature of Coca-Cola's business model and its capacity for consistent, long-term value creation.

INVESTMENT RISKS

Rising Input Costs and Margin Pressure

One of the most significant risks facing Coca-Cola is the sustained increase in key input costs, particularly sugar, aluminum for cans, and transportation expenses. Commodity price inflation has been exacerbated by global supply chain disruptions and geopolitical tensions, resulting in higher raw material prices. Although Coca-Cola has historically demonstrated strong pricing power, the ability to pass on cost increases to consumers is limited by competitive pressures and price sensitivity in key markets. Failure to fully offset these rising costs could compress EBITDA margins and reduce overall profitability, posing a material risk to financial performance.

Intensifying Competition and Shifting Consumer Preferences

Both established and emerging players vying for market share. Health-conscious consumers are driving demand away from traditional sugary sodas toward low-calorie, organic, and functional beverages. Coca-Cola faces growing competition not only from large global firms like PepsiCo but also from niche and regional brands that are capitalizing on changing trends. The company's success depends on its ability to innovate rapidly, adapt its product portfolio, and effectively market healthier options. Failure to anticipate or respond adequately to evolving consumer preferences could lead to revenue stagnation or decline.

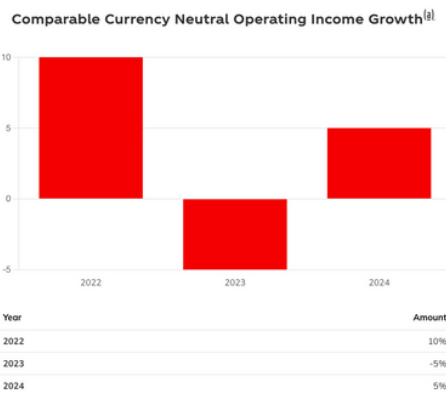
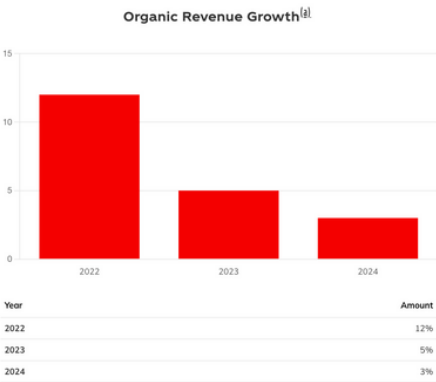
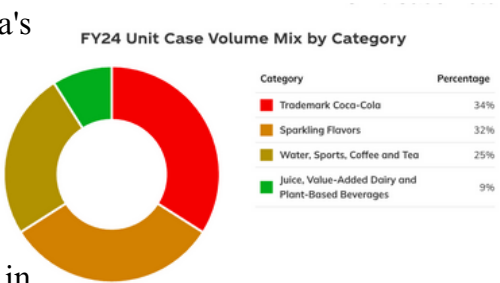
Currency Fluctuations and Geopolitical Risks

Coca-Cola generates a significant portion of its revenue from emerging markets, which exposes it to risks associated with currency volatility. Fluctuations in foreign exchange rates can impact reported earnings and cash flows, particularly in markets with unstable currencies. Additionally, geopolitical uncertainties such as trade restrictions, sanctions, political instability, or civil unrest in key countries could disrupt operations, supply chains, or market access. These factors create unpredictability in revenue streams and increase operational complexity.

Regulatory and Environmental Challenges

Regulatory pressures pose ongoing challenges to Coca-Cola's operations and growth strategies. Governments worldwide are increasingly imposing stricter regulations related to sugar content, health warnings, marketing restrictions,

Asia Pacific



and packaging waste. Environmental regulations aimed at reducing plastic pollution and promoting sustainability require substantial investments in new packaging technologies and recycling initiatives. Compliance costs and potential limitations on product formulations could weigh on margins and complicate product development. Furthermore, failure to meet rising environmental, social, and governance (ESG) standards could harm Coca-Cola's reputation and investor appeal.

Macroeconomic and Consumer Spending Risks

Global economic uncertainties, including risks of recession, inflation, and changing monetary policies, may adversely affect consumer discretionary spending. In economically sensitive markets, reduced consumer income or confidence can translate into lower demand for Coca-Cola's products, especially in premium and discretionary segments. Inflationary pressures may also limit consumers' willingness to absorb price increases, further constraining volume growth. Prolonged economic downturns or volatility could therefore negatively impact Coca-Cola's revenue growth and earnings stability.

MANAGEMENT AND GOVERNANCE

Leadership Team

The Coca-Cola Company is led by a seasoned and experienced executive team with deep industry knowledge and a track record of delivering consistent growth and shareholder value. James Quincey, serving as Chairman and Chief Executive Officer since 2017, has been instrumental in steering the company through strategic transformations, including portfolio diversification, digital innovation, and sustainability initiatives. Under his leadership, Coca-Cola has enhanced its focus on health-conscious products and expanded its footprint in emerging markets.

The executive leadership team comprises experts across key functions such as finance, marketing, supply chain, and global operations, fostering strong collaboration and strategic alignment. Their combined expertise supports Coca-Cola's ability to respond swiftly to market dynamics and execute long-term growth strategies effectively.

Board of Directors

Coca-Cola's Board of Directors consists of a diverse group of independent members with broad experience in business, finance, and global markets. The board provides robust oversight of corporate strategy, risk management, and executive performance. It is committed to upholding high standards of corporate governance, ethical conduct, and transparency.

The board's committees including Audit, Compensation, Governance and Nominating, and Public Issues and Diversity ensure comprehensive monitoring of financial integrity, executive remuneration, board composition, and social responsibility. This structure enhances accountability and aligns management incentives with shareholder interests.

Bottling Investments



James Quincey



John Murphy

Corporate Governance Practices

Coca-Cola maintains a strong commitment to corporate governance principles consistent with best practices. The company adheres to rigorous policies on board independence, diversity, and tenure limits to promote fresh perspectives and effective oversight. Regular shareholder engagement and transparent reporting reinforce trust and alignment with investor priorities. The company's governance framework also emphasizes sustainability and corporate social responsibility, integrating environmental, social, and governance (ESG) considerations into decision-making processes. This holistic approach helps mitigate risks and supports long-term value creation.



Henrique Brown

Succession Planning and Risk Management

Proactive succession planning ensures leadership continuity and organizational stability. Coca-Cola invests in talent development and leadership pipelines to prepare for future challenges and opportunities. Additionally, the company employs comprehensive risk management frameworks to identify, assess, and mitigate operational, financial, and strategic risks.

SUSTAINABILITY AND ESG

Environmental Initiatives

Coca-Cola has positioned sustainability as a core component of its long-term strategy, recognizing the critical importance of environmental stewardship to its business resilience and social license to operate. The company has committed to ambitious environmental goals aimed at reducing its ecological footprint while promoting sustainable growth.

- **Water Stewardship:** Water is fundamental to Coca-Cola's operations, and the company has pledged to safely return to communities and nature an amount of water equivalent to what it uses in its finished beverages and production processes. This "water replenishment" goal is targeted for achievement by 2030 and involves collaborations with local communities, governments, and NGOs to improve water access, quality, and conservation. Coca-Cola also invests in water-efficient technologies within its manufacturing facilities to minimize consumption.
- **Climate Action and Carbon Reduction:** In alignment with the global push to limit climate change, Coca-Cola has set science-based targets to reduce absolute greenhouse gas emissions by 25% by 2030 across its value chain. This includes scope 1 and 2 emissions from direct operations and scope 3 emissions from suppliers and distribution. The company is advancing renewable energy adoption at its plants, enhancing energy efficiency measures, and exploring innovative low-carbon technologies. Additionally, Coca-Cola is engaging its suppliers and partners to adopt sustainable practices that contribute to emission reductions.
- **Sustainable Packaging and Circular Economy:** Packaging waste, especially plastic pollution, is a key environmental challenge for beverage companies. Coca-Cola has committed to making 100% of its packaging recyclable by 2025 and to incorporate at least 50% recycled content in its plastic bottles by 2030.



The company actively supports global recycling infrastructure development and consumer awareness campaigns. It is also investing in alternative packaging solutions such as plant-based plastics and refillable packaging models to reduce plastic dependency and promote circular economy principles.

Social Responsibility and Community Impact

Coca-Cola's sustainability efforts extend beyond environmental concerns to include social responsibility initiatives aimed at enhancing community well-being and promoting inclusivity.

- **Community Engagement and Development:** The company supports a range of programs to improve access to clean water, sanitation, education, and economic opportunities in underserved communities worldwide. For instance, Coca-Cola's 5by20 initiative has empowered over five million women entrepreneurs through business skills training, financial inclusion, and market access, contributing to poverty reduction and social upliftment.
- **Diversity, Equity, and Inclusion (DEI):** Coca-Cola prioritizes fostering a diverse and inclusive workplace. Its global workforce reflects broad demographic diversity, and the company implements targeted initiatives to promote gender equality, racial and ethnic diversity, and inclusive leadership. Annual diversity reports disclose progress against key performance indicators and highlight efforts to build an equitable culture through employee resource groups, inclusive hiring practices, and bias mitigation training.
- **Health and Wellness Focus:** Recognizing shifting consumer preferences toward healthier lifestyles, Coca-Cola has diversified its portfolio with reduced-sugar, no-sugar, and functional beverages including teas, juices, and sparkling waters. The company adheres to responsible marketing standards, particularly in promoting products to children and vulnerable populations. Coca-Cola is actively engaging with public health stakeholders to support balanced diets and physical activity.

Governance and Ethical Practices

- **Strong governance** is integral to Coca-Cola's ability to deliver on its ESG commitments and sustain investor confidence.
- **Board Oversight:** Coca-Cola's Board of Directors actively oversees sustainability and ESG strategy through dedicated committees and regular reporting. Independent directors with expertise in sustainability ensure robust governance and alignment with shareholder interests.
- **Ethics and Compliance:** The company enforces rigorous ethical standards through comprehensive policies addressing anti-corruption, human rights, labor practices, and environmental compliance. Annual ethics training and whistleblower programs reinforce accountability and transparency across all levels of the organization.
- **Transparency and Reporting:** Coca-Cola publishes detailed sustainability reports aligned with international frameworks such as the Global Reporting Initiative (GRI), Sustainability Accounting Standards Board



(SASB), and the Task Force on Climate-related Financial Disclosures (TCFD). This transparency facilitates benchmarking, investor engagement, and continuous improvement.

ESG Ratings and Investor Appeal

Coca-Cola consistently receives high ESG ratings from leading agencies such as MSCI, Sustainalytics, and CDP. These ratings reflect the company’s strong performance in environmental management, social responsibility, and governance structures. Coca-Cola’s proactive ESG initiatives enhance its attractiveness to socially responsible investors and mitigate long-term operational and reputational risks.

<i>Coca-Cola</i>			1	2	3	4	5
Particulars			Forecast				
	Unit		FY 2025	FY 2026	FY 2027	FY 2028	FY 2029
EBIT			15,299	17,028	18,844	20,720	22,623
Tax Rate			18.90%	18.90%	18.90%	18.90%	18.90%
Less: Income taxes			2,896	3,224	3,567	3,922	4,283
NOPAT			12,403	13,805	15,277	16,798	18,340
Add: D&A			1,122	1,187	1,247	1,317	1,328
Changes in WC			1,897	1,647	1,852	1,830	1,775
Less: Capex			(1,404)	(1,283)	(1,430)	(1,428)	(1,393)
FCFF			14,018	15,356	16,946	18,516	20,050
				9.50%	10.40%	9.30%	8.30%
Terminal value							491,887
Total Cash Flow			14,018	15,356	16,946	18,516	511,937
PV of cashflows			13,270	13,761	14,376	14,869	389,164



Valuation(Terminal Value Method)

		WACC						
GROWTH	91	4.53%	5.03%	5.53%	6.03%	6.50%	7.00%	7.50%
	1.10%	124	108	95.08	84.94	76.66	69.79	63.99
	1.30%	131	113	99.08	88.09	79.2	71.87	65.72
	1.50%	139	119	103.47	91.51	81.94	74.1	67.57
	1.70%	148	125	108.32	95.26	84.91	76.5	69.55
	1.90%	159	133	113.7	99.36	88.13	79.09	71.66
	2.10%	171	141	119.71	103.89	91.65	81.89	73.93
	2.30%	185	150	126.46	108.9	95.49	84.92	76.38
	2.50%	202	162	134.11	114.48	99.72	88.22	79.02
	2.70%	223	174	142.84	120.72	104.39	91.83	81.87

Terminal Value Method	
WACC	6.03%
Long term growth rate	1.50%
Value of firm	445,438
Less: Value of debt	44522
Add:Cash and cash equivalents	12848
Add: Investments	21089
Value of equity	434,853
No of shares outstanding	4320
Fair Value / share	91.48

Valuation(Exit Multiple Method)

Peers Forward EV/EBIDTA(2Yr)		
Dr Pepper	Pepsi	Monster
11.6	11.1	22.2

EV/EBIDTA Exit Multiple Method	
Σ PV of FCFF	71,516
EV/EBIDTA Exit Multiple	14.97
<i>EBIDTA (2029F) (USD Million)</i>	23951
Terminal Value	358461
PV Terminal Value	272494
Value of Firm (Enterprise Value)	344,010
Value of Debt	44522
Value of Cash and STI	12848
Add: Investments	25140
Value of equity	337,476
No of shares outstanding	4320
Fair Value / share	76.77
<i>Discount/Premium to CMP (\$69.56)</i>	10%

Revenue sheet

Coca-Cola											
Particulars	Unit	Historical					Forecast				
		FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025	FY 2026	FY 2027	FY 2028	FY 2029
Europe, Middle East & Africa		6,057	7,193	7,523	8,078	8,122	9,359	10,663	12,008	13,366	14,703
Growth rate%			18.8%	4.6%	7.4%	0.5%					
Add/Less: Inorganic growth			-1.0%	12.4%	12.0%	16.0%					
Organic			17.8%	17.0%	19.4%	16.5%	15.2%	13.9%	12.6%	11.3%	10%
Latin America		3,499	4,143	4,910	5,830	6,459	7,921	9,542	11,290	13,114	14,950
Growth rate%			18.4%	18.5%	18.7%	10.8%					
Add/Less: Inorganic growth			0.0%	6.0%	3.0%	14.0%					
Organic			18.4%	24.5%	21.7%	24.8%	22.6%	20.5%	18.3%	16.2%	14%
North America		11,477	13,190	15,674	16,774	18,649	20,578	22,534	24,488	26,407	28,255
Growth rate%			14.9%	18.8%	7.0%	11.2%					
Add/Less: Inorganic growth			0.0%	-6.0%	0.0%	0.0%					
Organic			14.9%	12.8%	7.0%	11.2%	10.3%	9.5%	8.7%	7.8%	7%
Asia Pacific		4,722	5,291	5,445	5,455	5,546	5,842	6,192	6,605	7,090	7,657
Growth rate%			12.0%	2.9%	0.2%	1.7%					
Add/Less: Inorganic growth			-3.0%	8.0%	4.0%	3.0%					
Organic			9.0%	10.9%	4.2%	4.7%	5.3%	6.0%	6.7%	7.3%	8%
Global Ventures		1,991	2,805	2,843	3,064	3,129	3,332	3,549	3,780	4,025	4,287
Growth rate%			40.9%	1.4%	7.8%	2.1%					
Add/Less: Inorganic growth			-8.0%	12.0%	0.0%	-2.0%					
Organic			32.9%	13.4%	7.8%	0.1%	6.5%	6.5%	6.5%	6.5%	6.5%
Bottling Investments		6,265	7,203	7,891	7,860	6,223	6,796	7,421	8,103	8,849	9,663
Growth rate%			15.0%	9.6%	-0.4%	-20.8%					
Add/Less: Inorganic growth			-2.0%	9.0%	14.0%	30.0%					
Organic			13.0%	18.6%	13.6%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%
Corporate		46	85	94	126	97	118	143	173	210	255
Growth rate%			84.8%	10.6%	34.0%	-23.0%					
Add/Less: Inorganic growth		-	-	-	-						
Organic		0.0%	84.8%	10.6%	34.0%	-23.0%	21.3%	21.3%	21.3%	21.3%	21.3%
Total revenue before elemination		34,057	39,910	44,380	47,187	48,225	53,945	60,044	66,448	73,061	79,770
Eliminations		(1,043)	(1,255)	(1,376)	(1,433)	(1,164)	(1,618)	(1,801)	(1,993)	(2,192)	(2,393)
Eliminations as % of revenue before elemination		3.1%	3.1%	3.1%	3.0%	2.4%	3.0%	3.0%	3.0%	3.0%	3.0%
Total revenue		33,014	38,655	43,004	45,754	47,061	52,327	58,243	64,455	70,870	77,377
			17.1%	11.3%	6.4%	2.9%	11.2%	11.3%	10.7%	10.0%	9.2%

P&L sheet

Coca-Cola											
Particulars	Unit	Historical					(In millions except par value)				
		FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	Forecast				
							FY 2025	FY 2026	FY 2027	FY 2028	FY 2029
Total net operating revenue	\$	33,014	38,655	43,004	45,754	47,061	52,327	58,243	64,455	70,870	77,377
Add/Less: Extraordinary items		(15)	3	42	30	(164)	-	-	-	-	-
Normalised revenue		32,999	38,658	43,046	45,784	46,897	52,327	58,243	64,455	70,870	77,377
Cost of goods sold		13,433	15,357	18,000	18,520	18,324					
Add/Less: Extraordinary items		65	53	(183)	(55)	(70)					
Normalised COGS		13,498	15,410	17,817	18,465	18,254	21,079	23,462	25,964	28,548	31,169
Normalised Gross Profit		19,501	23,248	25,229	27,319	28,643	31,248	34,781	38,491	42,322	46,208
Selling, general and administrative expenses		9,731	12,144	12,880	13,972	14,582					
Add/Less: Extraordinary items		-	(5)	4	11	(24)					
Normalised Selling, general and administrative expenses		9,731	12,139	12,884	13,983	14,558	15,950	17,753	19,646	21,602	23,585
Other operating charges		853	846	1,215	1,951	4,163					
Add/Less: Extraordinary items		(853)	(846)	(1,215)	(1,951)	(4,163)					
Normalised Other operating charges		-	-	-	-	-					
Normalised Operating Income (EBIT)		9,770	11,109	12,345	13,336	14,085	15,299	17,028	18,844	20,720	22,623
Interest income		370	276	449	907	988	697	464	756	1,049	1,272
Interest expense		1,437	1,597	882	1,527	1,656					
Add/Less: Extraordinary items		(484)	(821)	24	25	25					
Normalised Interest expense		953	776	906	1,552	1,681	1,560	1,290	1,185	1,059	887
Equity income (loss) — net		978	1,438	1,472	1,691	1,770	1,770	1,770	1,770	1,770	1,770
Add/Less: Extraordinary items		216	13	34	159	92					
Normalised Equity income (loss) — net		1,194	1,451	1,506	1,850	1,862	1,976	2,199	2,434	2,676	2,922
Other income (loss) — net		841	2,000	(262)	570	1,992					
Add/Less: Extraordinary items		(724)	(1,633)	245	(708)	(1,913)					
Normalised Other income (loss) — net		117	367	(17)	(138)	79	82	75	16	23	55
Normalised Income Before Income Taxes (PBT)		10,498	12,427	13,377	14,403	15,333	16,493	18,476	20,865	23,409	25,984
Income taxes		1,981	2,621	2,115	2,249	2,437					
Add/Less: Extraordinary items		61	(313)	430	488	415					
Normalised Income taxes		2,042	2,308	2,545	2,737	2,852	3,122.16	3497.653	3949.8493	4431.3492	4918.8377
Consolidated Net Income		8,456	10,119	10,832	11,666	12,481	13,371	14,979	16,915	18,977	21,065
Less: Net income (loss) attributable to noncontrolling interests		21	33	29	(11)	18	23.856264	26.725426	30.18064	33.859762	37.584642
Net Income Attributable to Shareowners of The Coca-Cola Comp		8,435	10,086	10,803	11,677	12,463	13,347	14,952	16,885	18,943	21,027
Diluted EPS		1.95	2.32	2.48	2.69	2.88	3.09	3.46	3.91	4.39	4.87
Average Shares Outstanding — Diluted		4,323	4,340	4,350	4,339	4,320	4,320	4,320	4,320	4,320	4,320
Dividend per share		1.64	1.68	1.76	1.84	1.94	2.2419294	2.5115634	2.8362725	3.1820236	3.532075
Dividend payout ratio		84.1%	72.3%	70.9%	68.4%	67.2%	72.6%	72.6%	72.6%	72.6%	72.6%
Workings											
GP margin %		59.1%	60.1%	58.6%	59.7%	61.1%	59.7%	59.7%	59.7%	59.7%	59.7%
SG&A as % of sales		29.5%	31.4%	29.9%	30.5%	31.0%	30.5%	30.5%	30.5%	30.5%	30.5%
EBIT margin %		29.6%	28.7%	28.7%	29.1%	30.0%	29.2%	29.2%	29.2%	29.2%	29.2%
Effective tax rate %		19.5%	18.6%	19.0%	19.0%	18.6%	18.9%	18.9%	18.9%	18.9%	18.9%
Equity Income as % of sales		3.6%	3.8%	3.5%	4.0%	4.0%	3.8%	3.8%	3.8%	3.8%	3.8%
Net profit margin		25.6%	26.2%	25.2%	25.5%	26.6%	25.6%	25.7%	26.2%	26.8%	27.2%
Noncontrolling interests as % of Conso. Net income		0.2%	0.3%	0.3%	-0.1%	0.1%	0.2%	0.2%	0.2%	0.2%	0.2%
Normalised EBITDA		11,306	12,561	13,605	14,464	15,160	16,421	18,215	20,091	22,037	23,951
Depreciation and amortization		1,536	1,452	1,260	1,128	1,075	1,122	1,187	1,247	1,317	1,328
EBITDA margin		34.3%	32.5%	31.6%	31.6%	32.3%	31.4%	31.3%	31.2%	31.1%	31.0%
Dividend		7,090	7,291	7,656	7,984	8,381	9,685	10,850	12,253	13,746	15,259
Yield on cash			3%	5%	10%	10%	10%	10%	10%	10%	10%

Balance sheet

											
(In millions except par value)											
Particulars	Unit	Historical					Forecast				
		FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025	FY 2026	FY 2027	FY 2028	FY 2029
Assets	\$										
Current Assets											
Cash and cash equivalents		6,795	9,684	9,519	9,366	10,828	3,415	6,072	9,379	12,054	13,940
Short-term investments		1,771	1,242	1,043	2,997	2,020	2,020	2,020	2,020	2,020	2,020
Total Cash, Cash Equivalents and Short-Term Investments		8,566	10,926	10,562	12,363	12,848	5,435	8,092	11,399	14,074	15,960
Marketable securities		2,348	1,699	1,069	1,300	1,723	1,723	1,723	1,723	1,723	1,723
Trade accounts receivable,		3,144	3,512	3,487	3,410	3,569	3,926	4,308	4,698	5,090	5,474
Inventories		3,266	3,414	4,233	4,424	4,728	5,439	6,054	6,699	7,366	8,042
Prepaid expenses and other current assets		1,916	2,994	3,240	5,235	3,129	3,521	3,919	4,337	4,769	5,207
Total Current Assets		19,240	22,545	22,591	26,732	25,997	20,043	24,095	28,856	33,021	36,406
Equity method investments		19,273	17,598	18,264	19,671	18,087	18,087	18,087	18,087	18,087	18,087
Other investments		812	818	501	118	-	7,520	5,743	3,679	8,366	10,298
Other noncurrent assets		6,184	6,731	6,189	7,162	13,403	13,403	13,403	13,403	13,403	13,403
Deferred income tax assets		2,460	2,129	1,746	1,561	1,319	1,319	1,319	1,319	1,319	1,319
Property, plant and equipment (net)		10,777	9,920	9,841	9,236	10,303	10,524	10,821	11,045	11,163	10,255
Trademarks with indefinite lives		10,395	14,465	14,214	14,349	13,301	13,301	13,301	13,301	13,301	13,301
Goodwill		17,506	19,363	18,782	18,358	18,139	18,139	18,139	18,139	18,139	18,139
Other intangible assets		649	785	635	516	-	377	323	281	239	205
Total assets		87,296	94,354	92,763	97,703	100,549	102,714	105,232	108,110	117,038	121,413
Equity and Liabilities											
Current Liabilities											
Accounts payable and accrued expenses		11,145	14,619	15,749	15,485	21,715	25,075	27,910	30,887	33,961	37,079
Loans and notes payable		2,183	3,307	2,373	4,557	1,499	1,305	1,203	1,101	957	768
Current maturities of long-term debt		485	1,338	399	1,960	648	1,960	1,070	1,810	4,616	2,770
Accrued income taxes		788	686	1,203	1,569	1,387	1,383	1,590	1,920	2,165	2,320
Total Current Liabilities		14,601	19,950	19,724	23,571	25,249	29,723	31,773	35,717	41,699	42,937
Long-term debt		40,125	38,116	36,377	35,547	42,375	36,380	32,720	26,991	24,706	22,037
Other noncurrent liabilities		9,453	8,607	7,922	8,466	4,084	4,084	4,084	4,084	4,084	4,084
Deferred income tax liabilities		1,833	2,821	2,914	2,639	2,469	2,469	2,469	2,469	2,469	2,469
Equity		19,299	22,999	24,105	25,941	24,856	28,518	32,620	37,252	42,449	48,218
Noncontrolling interests		1,985	1,861	1,721	1,539	1,516	1,540	1,567	1,597	1,631	1,668
Total Equity		21,284	24,860	25,826	27,480	26,372	30,057	34,186	38,849	44,080	49,886
Total Liabilities and Equity		87,296	94,354	92,763	97,703	100,549	102,714	105,232	108,110	117,038	121,413

Cash flow statement



(In millions except par value)

Particulars	Unit	Forecast				
		FY 2025	FY 2026	FY 2027	FY 2028	FY 2029
	\$					
Cash flow form operations						
Net profit		13,371	14,979	16,915	18,977	21,065
Add/Less : Non Cash items						
Depreciation and amortization		1,122	1,187	1,247	1,317	1,328
Interest expenses		1,560	1,290	1,185	1,059	887
Interest income		(697)	(464)	(756)	(1,049)	(1,272)
Equity income		(1,976)	(2,199)	(2,434)	(2,676)	(2,922)
Other Income		(82)	(75)	(16)	(23)	(55)
Cash flow form operations before working capital changes		13,299	14,718	16,141	17,605	19,032
Changes in Working capital						
Trade receivable		(357)	(381)	(390)	(392)	(384)
Inventory		(711)	(615)	(646)	(667)	(676)
Prepaid expenses and other current assets		(392)	(398)	(418)	(432)	(438)
Accounts payable and accrued expenses		3,360	2,835	2,977	3,074	3,118
Accrued income taxes		(4)	206	330	246	155
Cash generated from operations		15,195	16,365	17,994	19,435	20,806
Cashflow from Investing activities						
Purchase of Property plant and equipment		(1,404)	(1,283)	(1,430)	(1,428)	(1,393)
Purchase of Intangible assets		-	-	-	-	-
Interset income		697	464	756	1,049	1,272
Equity income		1,976	2,199	2,434	2,676	2,922
Other Income		82	75	16	23	55
Cash generated from investments		1,350	1,455	1,776	2,319	2,855
Cashflow from Financing activities						
Debt Taken		(10,560)	(1,851)	(1,113)	485	(2,670)
Debt repaid		(2,154)	(1,172)	(1,912)	(4,760)	(2,960)
Interest paid		(1,560)	(1,290)	(1,185)	(1,059)	(887)
Dividend		(9,685)	(10,850)	(12,253)	(13,746)	(15,259)
Cash generated from financing activity		(23,959)	(15,163)	(16,463)	(19,080)	(21,775)
Total cash generated during year		(7,413)	2,657	3,307	2,675	1,886
Add: Opening balance of cash and cash equivalents		10,828	3,415	6,072	9,379	12,054
Closing balance		3,415	6,072	9,379	12,054	13,940